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# The Mutual Fund & SIP Starter Playbook

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Start investing the right way - without the jargon,  
the guesswork, or the middlemen's commissions.

INDIA 2026-27 EDITION

Verified from AMFI, SEBI and the Income Tax Department - September 2026

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## Introduction

You do not need to be rich to start investing. You need a bank account, a PAN card, and one honest afternoon. This playbook is that afternoon, written down.

India crossed a quiet milestone in August 2026: for the first time, more than 10 crore people were putting money into mutual funds every month through a SIP. Monthly SIP contributions hit a record Rs 32,297 crore, and the industry now manages about Rs 87 lakh crore. Yet a SEBI survey found that only about 36 per cent of investors feel they truly understand the market, and nearly 62 per cent of new investors say a social-media influencer shaped their decision. That gap - between the money flowing in and the understanding behind it - is exactly why this book exists.

Most beginner guides either drown you in finance-speak or hand you a 'best fund' list that is out of date the day it is printed. This one does neither. It teaches you the handful of ideas that actually decide your outcome, then gives you a repeatable routine to run for the next twenty years. By the end you will be able to pick a fund in twenty minutes, start a SIP in a weekend, read an expense ratio without flinching, plan a goal with real numbers, keep calm in a crash, and file your capital-gains tax without paying a rupee more than you owe.

Every number in this book was checked against AMFI's monthly data, SEBI's 2026 regulations, and the Income Tax Department, and is current as of September 2026. Where a figure could go stale, it is dated. Where something is an opinion rather than a fact, it says so.

### How to use this book

Read Chapters 1 to 3 once, properly - they stop you making the three mistakes that cost beginners the most. Use Chapters 4 to 21 as a working manual, kept open next to your phone while you set up your account. Chapters 22 to 31 are the long-term habits, the tax rules and the case studies you will return to. The appendices are worksheets you can use directly.

## The whole book on one page

If you read nothing else, do these ten things. Each one is explained properly in the chapter beside it.

- 1 Build a three-to-six-month emergency fund before you invest a rupee. (Chapter 2)
- 2 Buy health insurance and, if anyone depends on you, term insurance. (Chapter 2)
- 3 Clear credit-card and other high-interest debt first. (Chapter 2)
- 4 Decide your goal and its year - the horizon picks the fund. (Chapter 3)
- 5 For long goals, start with one low-cost broad index fund, Direct plan, Growth option. (Chapters 5, 17)
- 6 Start a monthly SIP on salary day and set a 10 per cent annual step-up. (Chapters 6, 7)
- 7 Check the expense ratio, and always choose Direct over Regular. (Chapter 9)
- 8 Own one to five funds, not fifteen; review them once a year. (Chapters 17, 19)
- 9 Never stop your SIP in a fall, and never act on guaranteed-return tips. (Chapters 24, 27)
- 10 Add a nominee today and file your capital-gains tax correctly. (Chapters 23, 26)

### The one-line version

Invest regularly, own a few sensible low-cost things, keep calm through the falls, and let time do the work. Everything else in this book is detail.

## 1. Your savings account is losing a slow race

Money left in a savings account does not stay still - it shrinks in what it can buy. If your savings account pays around 3 per cent a year and prices rise at around 5 to 6 per cent, you lose purchasing power every year even though the number on your passbook grows. Investing is not about getting rich overnight; it is about not falling behind, and then slowly getting ahead.

The good news is that India has made this easier than it has ever been. You can start with Rs 100 to Rs 500 a month, complete your entire identity check on your phone in ten minutes, and never speak to a broker. Here is the scale of what ordinary Indians are already doing.

**Rs 32,297 cr**

**SIP INFLOW / MONTH**

Record monthly SIP contributions, August 2026

**10.02 cr**

**SIP ACCOUNTS**

Contributing SIP accounts - first time above 10 crore

**28.35 cr**

**TOTAL FOLIOS**

Mutual fund accounts across India, August 2026

Those three numbers come from AMFI's monthly release for August 2026. The industry's net assets stood at about Rs 87.08 lakh crore, and SIP assets alone - Rs 18.62 lakh crore - are now 21.4 per cent of everything invested in mutual funds. Equity funds have seen money come in for 66 straight months. This is no longer a niche activity for the wealthy; it is the default way a working Indian builds wealth.

## What investing is really for

Every rupee you invest is doing one of three jobs: growing for a far-away goal, protecting you against an emergency, or funding something you want in a few years. Once you see money as doing a job rather than just 'sitting somewhere', the whole business becomes simple. You match the job to the time you have.

### The mindset that matters

Investing is not a talent. It is a routine: put money in regularly, own a small number of sensible things, keep costs low, ignore the noise, and let time do the work.

## 2. Five jobs to finish before your first SIP

Skipping this chapter is the single most common reason beginners get forced to sell their investments at the worst possible time. Investing should be the last step, not the first. Finish these five jobs and a market crash becomes an inconvenience instead of a crisis.

### Job 1: Build an emergency fund of three to six months

This is money you can reach in a day, kept in a savings account, a sweep-in fixed deposit, or a liquid fund. It is not invested in the market. Its only job is to let you keep your SIP running when the car breaks down or you lose your income for a few months, instead of redeeming investments at a loss. Three months of expenses if your job is stable, six if it is not.

### Job 2: Get health insurance before you get wealthy

One hospital bill can wipe out five years of investing. If your employer covers you, buy a separate personal health policy anyway - cover of Rs 5 lakh to Rs 10 lakh for a family, so you keep protection if you change or lose the job. This is protection, not investment; do not buy it hoping for returns.

### Job 3: If someone depends on your income, buy term insurance

Term insurance is pure protection: a large cover (a common rule of thumb is 10 to 15 times your annual income) for a small premium, paid only if you die during the policy. Buy it directly from an insurer, not as part of an investment-linked plan. If nobody depends on your income, you can skip it for now.

### Job 4: Clear expensive debt first

A credit card charging 36 to 48 per cent a year is a guaranteed loss that no mutual fund can reliably beat. Clear it before you invest. A home loan at 7 to 9 per cent is different - you can invest alongside a home loan. The rule is simple: kill any debt whose interest rate is higher than what you can reasonably expect to earn.

## Job 5: Write down what each rupee is for

Before you pick a single fund, write three lines: the goal, the amount you need, and the year you need it. 'Retirement, 2050', 'house down payment, 2030', 'child's education, 2042'. This one habit turns random investing into a plan, and Chapter 3 shows you exactly how the goal picks the investment.

### Never invest borrowed money

Money from a personal loan, a credit-card advance, or a 'loan against' something is not investing - it is gambling with a deadline attached. If the market falls 20 per cent while you owe a lender, you are forced to sell at the bottom. Invest only money you will not need for the length of the goal.

## 3. The goal picks the investment, not the other way round

The most important question in investing is not 'which fund?' It is 'when do I need this money?' Time decides almost everything: how much risk you can take, and therefore what you should own.

Short-term money cannot ride out a crash. If you need the money in two years and the market falls 25 per cent this year, you have no time to recover - you sell at a loss. Long-term money, on the other hand, has time to absorb several crashes and still come out ahead. This is why equity is powerful over decades and dangerous over months.

| If you need the money in... | What to own                                        | Risk                            | Examples                        |
|-----------------------------|----------------------------------------------------|---------------------------------|---------------------------------|
| Under 3 years               | Liquid funds, short-duration debt funds, sweep FDs | Very low                        | Emergency fund, a trip, a phone |
| 3 to 7 years                | Hybrid / balanced funds, conservative debt         | Low to medium                   | A car, a house down payment     |
| 7 to 10 years               | Mostly equity, some debt                           | Medium to high                  | Child's school fees             |
| 10 years or more            | Equity mutual funds and index funds                | High (but time is on your side) | Retirement, child's college     |

A useful shorthand is the '100 minus age' rule: the share of your long-term money in equity can roughly be 100 minus your age. At 25 that is about 75 per cent equity; at 50 it is about 50 per cent. It is not a law, but it stops a 22-year-old from being too timid and a 58-year-old from being too bold.

### Two buckets, kept separate

Keep your emergency money and your investing money in two clearly separate places. The emergency bucket never touches the market. The investing bucket is where your SIPs live. When you separate them in your head and in your bank, you stop raiding one to rescue the other.

## 4. What a mutual fund actually is

A mutual fund is a simple idea dressed in complicated words. Thousands of people put money into one big pool. A professional manager invests that pool across many shares or bonds. Each investor owns a slice of the pool, measured in 'units'. When the pool's investments rise, your slice is worth more; when they fall, it is worth less. That is the whole thing.

### The words you will keep meeting

- **NAV (Net Asset Value)** - the price of one unit. It is the pool's total value divided by the number of units. It is published daily.

- **Units** - your slice. If you invest Rs 5,000 and the NAV is Rs 50, you get 100 units.
- **AUM (Assets Under Management)** - the total size of the fund. Bigger funds often (not always) charge less.
- **AMC (Asset Management Company)** - the firm that runs the fund, such as HDFC MF or UTI MF.
- **RTA (Registrar)** - the back office that keeps your records. In India this is mainly CAMS or KFintech.
- **Folio** - your account number with a fund house. It is not the same as a bank account.
- **Growth vs IDCW** - in a Growth option, profits stay inside and compound. In an IDCW option, some profit is paid out. Beginners should almost always choose Growth.

## Who watches the money

A mutual fund is not a company you have to trust on faith. SEBI regulates it, a trustee company holds the assets on your behalf, and a registrar keeps the records. The AMC earns a fee for managing the money; it does not own the money. This structure is why a fund house going through a bad year cannot simply take your units - they are held in trust for you.

## You do not need a demat account

For regular mutual funds, you do not need a demat (share-trading) account. Your units are held in a folio with the AMC or the registrar, and you can buy, track and redeem them through the AMC's own website, a registrar platform, or an investment app. A demat account is only needed if you buy exchange-traded funds (ETFs) on a stock exchange - a different choice we cover in Chapter 13.

### Why this matters for cost

Because mutual funds do not require a demat account or a broker, the only ongoing cost you should care about is the fund's own expense ratio. Chapter 9 shows you how to read it - and how a fraction of a per cent, compounded over twenty years, becomes lakhs.

## 5. The menu: what each fund type is really for

There are hundreds of schemes, but they fall into a few families. Learn the families and you can ignore 95 per cent of the noise.

| Family            | What it holds                                            | Best for                                       | Risk           |
|-------------------|----------------------------------------------------------|------------------------------------------------|----------------|
| Equity - Index    | Copies an index (e.g. Nifty 50), no manager picks stocks | Long-term core holding, low cost               | High           |
| Equity - Active   | A manager picks stocks (large, mid, small, flexi cap)    | Long-term growth, if the fund stays consistent | High           |
| ELSS              | Equity with a 3-year lock-in; tax deduction (old regime) | Tax-saving plus growth                         | High           |
| Debt              | Bonds and government securities                          | 3-7 year goals, stability                      | Low to medium  |
| Hybrid / Balanced | A mix of equity and debt                                 | One-fund simplicity, medium goals              | Medium         |
| Solution-oriented | Retirement and children's funds with lock-ins            | Specific long goals                            | Medium to high |

| Family        | What it holds                          | Best for               | Risk           |
|---------------|----------------------------------------|------------------------|----------------|
| Fund of Funds | Other mutual funds, sometimes overseas | International exposure | Medium to high |

## Read the riskometer, always

SEBI requires every scheme to carry a 'riskometer' - a speed-dial graphic showing its risk level, from Low to Very High. It is on the first page of every fund document and on every app screen. Before you invest, check that the dial matches your goal's time horizon. A long-term goal can carry a high dial; a three-year goal cannot.

## Sectoral and thematic funds: usually skip them

A fund that bets only on IT, or pharma, or 'new energy' can soar and then halve. These are concentrated bets, not diversified investing. For most beginners they add risk without adding reliability. Build your core first; if you ever want a small thematic bet, cap it at a small slice of your portfolio and treat it as a punt, not a plan.

### The beginner's default

For a long-term goal, a broad, low-cost index fund is the simplest sensible starting point. It removes the hardest question - which manager is good? - and gives you the whole market at a very low cost. Chapter 10 explains when an active fund is worth the extra fee.

## 6. SIP, lump sum, step-up and SWP

A SIP (Systematic Investment Plan) is not a product - it is a method. It simply means investing a fixed amount at a fixed interval, usually monthly, into a fund you have already chosen. 'I am doing a SIP' really means 'I invest regularly into a mutual fund.'

### Why the method works: rupee-cost averaging

When you invest a fixed rupee amount every month, you automatically buy more units when prices are low and fewer when prices are high. Your average buying cost smooths out, and you stop trying to guess the perfect day to invest - a guessing game nobody wins consistently. The bigger benefit is behavioural: a SIP turns investing into a habit you do not have to think about.

### SIP or lump sum?

If you have a large amount ready and a long horizon, investing it in one go (a lump sum) has historically had a slight edge, because markets rise more often than they fall. But most people do not have a large lump sum, and most people cannot stomach a lump sum that immediately falls. For a salaried person, the honest answer is: SIP from every salary, and invest any windfall as a lump sum if your horizon is long. Do not let the debate stop you from starting.

### Step-up: the habit that quietly builds a fortune

A step-up SIP increases your monthly amount by a set percentage every year - commonly 10 per cent. If you start at Rs 5,000 a month and step up 10 per cent a year, you are investing far more within a decade, without ever feeling a big jump in any single month. Raise it in the month your salary rises. This one setting does more for your final corpus than almost any fund choice.

## SWP: taking money out later

A Systematic Withdrawal Plan does the reverse - it pays you a fixed amount every month from your invested corpus. It is how many retirees turn a portfolio into a salary. You will not need it for years, but it is worth knowing the door exists.

## 7. How much should you invest each month?

The honest answer is: as much as you can, consistently. But 'as much as you can' needs a number, so here is a way to find yours.

### Pay yourself first

The single most effective habit is to invest on salary day, before you spend. Treat the SIP like a bill you must pay - to your future self. If you wait to see what is left at month end, nothing is left, because spending expands to fill whatever is available.

### A savings rate that works in India

A common starting point is the 50-30-20 split: about 50 per cent of take-home pay to needs (rent, food, transport, EMIs), about 30 per cent to wants, and about 20 per cent to savings and investments. In expensive metros, 50 per cent on needs is often unrealistic - so the split shifts, but the principle holds: decide the savings number first, then live on the rest. A beginner investing 10 to 15 per cent of take-home is doing well; 20 per cent or more, if you can, is how wealth is actually built.

### What that grows into

The table below shows what a monthly SIP grows into over time. These are illustrations using assumed returns - not promises. They assume the return is steady, which real markets never are; some years will be higher, some negative. The point is not the exact figure but the shape of the curve: time does most of the work.

| Monthly SIP       | 10 yrs @10%  | 20 yrs @10%   | 30 yrs @10%   | 20 yrs @12%   |
|-------------------|--------------|---------------|---------------|---------------|
| Rs 5,000 a month  | Rs 10.3 lakh | Rs 38.3 lakh  | Rs 1.14 crore | Rs 50.0 lakh  |
| Rs 10,000 a month | Rs 20.7 lakh | Rs 76.6 lakh  | Rs 2.28 crore | Rs 99.9 lakh  |
| Rs 25,000 a month | Rs 51.6 lakh | Rs 1.91 crore | Rs 5.70 crore | Rs 2.50 crore |

Illustration only, assuming a steady monthly compounded return; actual returns will vary and can be negative in some years.  
Source: standard SIP annuity formula.

Notice two things. First, doubling the time from 10 to 20 years multiplies the result by roughly five, not two - because compounding keeps building on itself. Second, a modest Rs 5,000 a month, sustained for 30 years, ends up larger than most people imagine. Consistency, not size, is the lever you actually control.

### Start small, start now

Rs 500 a month that runs for 30 years beats Rs 5,000 a month that starts in 10 years. If your budget is tight today, start with the smallest SIP you can keep, then step it up the moment your income rises.

## 8. Where your salary actually goes: a simple money map

Most people cannot say where their money went last month. A simple map fixes that in one sitting, and it makes the investing number obvious instead of a guess.

### Split your take-home into four buckets

| Bucket             | Rough share | What it holds                                              | Where it lives         |
|--------------------|-------------|------------------------------------------------------------|------------------------|
| Essentials         | 40-50%      | Rent, food, transport, utilities, EMIs, insurance premiums | Bank account           |
| Lifestyle          | 15-25%      | Eating out, travel, shopping, subscriptions                | Bank account / card    |
| Investing          | 15-25%      | Your SIPs and long-term goals                              | Mutual funds           |
| Emergency + buffer | 5-10%       | The fund that keeps the plan safe                          | Liquid fund / sweep FD |

The exact percentages matter less than the order. Money for essentials and investing is set aside first; lifestyle lives on what is left. When you reverse that order - spend first, invest later - the investing bucket is always empty.

### Automate the map

Set a standing instruction on salary day: SIP out, emergency transfer out, then the rest is yours to spend without guilt. Automation removes willpower from the equation, and willpower is exactly what fails at the end of a long month.

#### The guilt-free rule

Once essentials, investing and emergency are funded, the remaining lifestyle money is genuinely yours to enjoy. A plan you can live with beats a perfect plan you abandon in six weeks.

## 9. Direct or Regular, and how to read the expense ratio

This chapter is worth more than its length, because it is about money that leaves your pocket every single year without you noticing.

### Direct vs Regular: the same fund, two prices

Every fund is sold in two versions. A **Regular** plan includes a commission paid to the distributor or platform that sold it to you. A **Direct** plan cuts out that commission, so its expense ratio is lower by roughly 0.5 to 1.5 per cent a year, depending on the fund. The underlying investments are identical. Over a long horizon, that difference compounds into a large sum. Unless you are genuinely paying a registered adviser for advice, choose Direct plans.

## What the expense ratio is - and what changed in 2026

The expense ratio is the annual cost of running the fund, expressed as a percentage of its assets. It is not billed to you separately; it is quietly deducted from the fund's NAV every day. Under SEBI's new **Mutual Funds Regulations, 2026**, which took effect on 1 April 2026, the cost was split into clear parts: a **Base Expense Ratio (BER)** that the fund house controls, plus brokerage, transaction costs, and statutory levies such as GST and STT shown separately. The BER caps were also trimmed. The maximum base expense ratio is now:

| Scheme category                    | Maximum base expense ratio |
|------------------------------------|----------------------------|
| Index funds and ETFs               | 0.90%                      |
| Equity-oriented open-ended schemes | 2.10%                      |
| Other than equity-oriented schemes | 1.85%                      |
| Closed-ended equity schemes        | 1.00%                      |

These are the caps for the smallest funds; the limits fall as a fund grows larger, and the biggest funds charge well below the cap. In practice, a direct Nifty 50 index fund in India today charges roughly 0.2 to 0.3 per cent a year - among the cheapest ways to own the market.

## The arithmetic of a fraction of a per cent

Suppose two investors each build a Rs 20 lakh portfolio and earn the same 11 per cent a year before costs. One pays 0.25 per cent (a direct index fund); the other pays 1.25 per cent (a regular plan). Over 20 years, the difference in the final corpus runs into several lakh rupees - paid not for better returns, but purely for the commission. This is why the expense ratio is the first number a serious investor checks, and the last one they compromise on.

### Rule of thumb

For index funds, look for a direct-plan expense ratio under about 0.3 per cent. For active equity funds, anything much above roughly 1.2 per cent in a direct plan deserves a very good reason. If a fund cannot explain why it is worth its fee, it probably is not.

## 10. Index or active? The honest comparison

An **index fund** does not try to beat the market. It simply buys all the shares in an index, such as the Nifty 50, in the same proportion, and holds them. An **active fund** pays a manager to pick shares in the hope of beating the index. The question is which is worth your money.

|              | Index fund                       | Active fund                    |
|--------------|----------------------------------|--------------------------------|
| Cost         | Very low (about 0.2-0.3% direct) | Higher (about 0.7-1.2% direct) |
| Who decides  | The index rules, mechanically    | A human fund manager           |
| Goal         | Match the market                 | Beat the market                |
| Risk         | Market risk only                 | Market risk plus manager risk  |
| Transparency | You always know what you own     | Holdings change and can drift  |

Study after study, in India and abroad, has found that over long horizons most active large-cap funds fail to beat their own benchmark after costs - and the few that do are hard to identify in advance. A fund that

led last year is not more likely to lead next year; chasing last year's winner is one of the most reliable ways to underperform.

### So should you ever use an active fund?

Yes, sometimes. Active funds can earn their fee in less efficient corners of the market - mid and small caps, where information is scarcer - and a genuinely consistent flexi-cap manager can add value over a full decade. But you have to judge a fund on consistency across many years, not on a hot year. If you cannot or do not want to do that work, a low-cost index fund is not a compromise; it is the sensible default.

#### The core-satellite idea

Many sensible investors keep most of their long-term money (the 'core') in low-cost index funds, and a smaller slice (the 'satellites') in one or two well-chosen active funds. The core gives you the market cheaply; the satellites give you a chance at a little extra. Keep the satellites small enough that being wrong does not hurt.

## 11. Debt, liquid and hybrid funds: where the rest of your money goes

Equity gets all the attention, but the funds that hold bonds do quiet, important work: they hold the money you cannot afford to lose, and the money you will need sooner.

### What debt funds hold, and the two risks

A debt fund lends your money - to governments, banks and companies - by buying bonds. Its return comes from the interest those bonds pay, plus or minus any change in their price. Two risks matter.

**Credit risk** is the chance a borrower does not pay back; funds holding lower-rated bonds carry more of it. **Interest-rate risk** is the chance that when rates rise, existing bonds fall in price; longer-duration funds feel this more. Neither is scary if you pick the right fund for the right job.

| Type                    | What it is for                         | Risk                    | Typical use                        |
|-------------------------|----------------------------------------|-------------------------|------------------------------------|
| Liquid fund             | Parking money for days to a few months | Very low                | Emergency fund, parking a lump sum |
| Short-duration debt     | Money needed in 1-3 years              | Low                     | A goal a year or two away          |
| Corporate bond / credit | Slightly higher yield                  | Low to medium           | Investors who accept mild risk     |
| Gilt fund               | Government bonds; very safe borrowers  | Low credit, medium rate | Stability with quality             |
| Balanced hybrid         | A ready-mix of equity and debt         | Medium                  | One-fund simplicity                |

### Where your emergency money should live

Your emergency fund should sit in a place where the value does not wobble - a savings account, a sweep-in FD, or a liquid fund. A liquid fund is not a place to earn big returns; it is a place to keep money safe, liquid and a little better paid than a savings account.

#### The 2026 tax rule on debt funds

Debt funds bought on or after 1 April 2023 are taxed at your income-tax slab rate whenever you sell, no matter how long you hold them - there is no long-term benefit. That does not make them a bad place for short-term money; it just means you should not hold them expecting a tax advantage.

## 12. Should you add gold and international funds?

Two categories sit outside the plain equity-and-debt split. Both can earn a place in a portfolio, and both can be overdone.

### Gold: a small anchor, not a growth engine

Indians have trusted gold for generations, and in a portfolio it plays a specific role: it often moves differently from shares, so it can cushion a bad year for equity. You can hold it through gold ETFs or gold funds, which track the metal's price without the storage worry. Keep it a modest slice - commonly around 5 to 10 per cent - and remember it produces no income of its own; its return is only the change in price.

### International funds: global diversification, added complexity

A fund that invests in overseas markets (say, the S&P 500 or global technology) lets you own companies outside India, so your money is not tied to one economy. The trade-offs are real: currency moves affect your return, costs are usually higher, and the tax treatment differs from Indian equity. A common approach is to keep international exposure a small part of the portfolio - enough to diversify, not so much that you take on risks you cannot follow.

#### Do not let the extras crowd out the core

Gold and international funds are satellites. Your core - a broad Indian equity index fund, plus debt for near-term money - is what carries the plan. Add the extras only after the core is in place, and keep them small.

## 13. ETFs, index funds and the demat question

An ETF (exchange-traded fund) and an index fund often hold exactly the same basket of shares. The difference is how you buy them, and that difference decides which suits you.

|              | Index mutual fund                             | ETF                                                         |
|--------------|-----------------------------------------------|-------------------------------------------------------------|
| How you buy  | From the AMC or a platform, at end-of-day NAV | On the stock exchange, at a live price, via a demat account |
| SIP-friendly | Yes, easily                                   | Not usually - you buy whole units on the exchange           |
| Cost         | Very low                                      | Often the lowest, but plus brokerage                        |
| Price        | One NAV a day                                 | Moves all day like a share                                  |
| Best for     | Regular monthly investing                     | Lump sums for investors who already have a demat account    |

For a beginner running a monthly SIP, an index mutual fund is almost always the simpler choice: no demat account, no exchange, no live-price decisions. If you already hold a demat account and want to invest a lump sum, an ETF tracking the same index can cost a little less.

## One thing to watch: liquidity

Some ETFs trade thinly, which means a wide gap between the buying and selling price. The most popular index ETFs are fine, but if an ETF barely trades, the apparent cost saving can vanish in that gap. For most beginners, this is one more reason the plain index fund wins.

## 14. What 'risk' really means (and what it does not)

Beginners hear 'high risk' and picture losing everything. That is not what risk usually means in a diversified mutual fund. Understanding the word properly is what lets you stay invested when it matters.

### Volatility is not the same as loss

A broad equity fund's price will move up and down - that is volatility. But a temporary fall is only a permanent loss if you sell during it. A diversified fund holding dozens or hundreds of companies does not go to zero; it recovers as the market does. The danger is not the fall. The danger is your reaction to it.

| Kind of risk       | What it means                           | How you reduce it                                     |
|--------------------|-----------------------------------------|-------------------------------------------------------|
| Market risk        | The whole market falls                  | Long horizon; keep investing through it               |
| Concentration risk | Too much in one stock, sector or theme  | Broad, diversified funds                              |
| Behavioural risk   | You sell in a panic or chase a hot fund | Automate the SIP; ignore daily prices                 |
| Inflation risk     | Your money grows slower than prices     | Own growth assets for long goals                      |
| Liquidity risk     | You need the money when it is down      | Match the fund to the horizon; keep an emergency fund |

The biggest of these is behavioural, and it is entirely in your control. Most investors who lose money do not lose it to the market - they lose it to their own decisions during a fall.

### The only risk you cannot diversify away

You cannot diversify away the risk of needing your money at a bad moment. That is why Chapter 3 comes before everything else: match the investment to the horizon, and the timing risk disappears.

## 15. How to shortlist a fund in twenty minutes

You do not need a research team. You need six filters, applied in order. Use the worksheet in Appendix B to run this on paper.

- 1 Match the category to the goal.** Decide the family first (Chapters 3 and 5): index or active equity for long goals, hybrid or debt for medium ones. Never start from a fund name.
- 2 Choose Direct plan and Growth option.** This alone saves you the commission and keeps profits compounding inside the fund.
- 3 Check the expense ratio.** Under about 0.3 per cent for index funds; roughly 1.2 per cent or less for active direct equity funds.
- 4 Look at long-term consistency, not last year's return.** Compare the fund against its benchmark over 3, 5 and 10 years. A fund steadily close to or above its benchmark over a decade is worth more than one with a single spectacular year.

- 5 Check size and the manager.** Avoid funds that are tiny (hard to run) or so large they cannot move nimbly. Look at how long the current manager has run it - a fund's record belongs to the manager who earned it.
- 6 Check exit load and overlap.** A small exit load for early exits is fine. If two of your funds hold mostly the same shares, you own less diversification than you think.

## Where to find the numbers

The fund house's own factsheet, the AMFI website, and the monthly factsheets published by funds all carry returns, expense ratios and portfolio holdings. Cross-check any number from an app against the AMC's own factsheet - it is the primary source.

### A warning about 'best fund' lists

Any list that ranks funds by last year's return is telling you what already happened, not what will happen. Past returns are useful for judging consistency, never for predicting the future. No fund, and no one selling you one, can promise a return.

## 16. How to read a fund factsheet

Every fund publishes a factsheet - a one- or two-page summary of what it is and how it has done. Most beginners ignore it because it looks dense. Read it in this order and it becomes clear in five minutes.

| Section              | What to look for                                                               |
|----------------------|--------------------------------------------------------------------------------|
| Scheme and objective | What the fund is meant to do. If its goal does not match yours, stop here.     |
| Riskometer           | Its risk level - Low to Very High. Match it to your time horizon.              |
| NAV and date         | The price of one unit and the date it was struck. A snapshot, not a signal.    |
| AUM                  | The fund's size. Too small can be fragile; extremely large can be unwieldy.    |
| Expense ratio        | The annual cost. Check it is Direct plan and in a sensible range.              |
| Exit load            | What it costs to leave early, and after how long it disappears.                |
| Fund manager         | Who runs it, and since when. Judge the record by the manager's tenure.         |
| Portfolio            | Top holdings, sector split and market-cap mix. Do you understand what it owns? |
| Returns vs benchmark | Compare across 1, 3, 5 and 10 years - not just the best year.                  |

The one line to remember: compare a fund to its own benchmark, over years, not to a headline number in an advertisement.

## 17. Build a simple portfolio you can actually keep

A good portfolio is not the cleverest one - it is the one you will hold through a bad year. That means few funds, clear roles, and low cost. Here are three blueprints, from simplest to slightly more involved.

### The one-fund portfolio (perfectly fine to start)

One broad Nifty 50 or Nifty 500 index fund, Direct plan, Growth option. That is a complete, diversified long-term holding covering India's largest companies at a very low cost. Many experienced investors would say a single low-cost index fund beats a messy portfolio of ten.

## The three-fund portfolio

- **Core (about 60-70%)** - a broad index fund.
- **Growth add-on (about 15-25%)** - one well-run flexi-cap or mid-cap fund, if you want a shot at extra return.
- **Stability (about 10-20%)** - a short-duration debt fund or a balanced hybrid, for the part of your money with a shorter horizon.

## The five-fund portfolio (only if you enjoy it)

Split the core across a Nifty 50 index fund and a Nifty Next 50 or mid-cap index fund, keep one flexi-cap, one debt or hybrid, and optionally a small international fund for global exposure. Beyond about five funds, you are mostly duplicating yourself and making the portfolio harder to track.

## Asset allocation by age

| Your age       | Equity | Debt / stability |
|----------------|--------|------------------|
| 20s            | 70-80% | 20-30%           |
| 30s            | 60-70% | 30-40%           |
| 40s            | 50-60% | 40-50%           |
| 50s and beyond | 30-50% | 50-70%           |

These are starting points, not rules. What matters is that you set an allocation you can sleep with, and rebalance it once a year - which simply means nudging it back toward your target when one side has run ahead.

# 18. Planning a goal with real numbers

Goals stop being vague once you put a number and a date on them. Work backwards: decide the target, pick a sensible assumed return, and find the monthly SIP that gets you there.

| Target corpus | In 10 years       | In 20 years       | In 30 years      |
|---------------|-------------------|-------------------|------------------|
| Rs 50 lakh    | Rs 21,520 / month | Rs 5,004 / month  | Rs 1,416 / month |
| Rs 1 crore    | Rs 43,041 / month | Rs 10,009 / month | Rs 2,833 / month |

Illustration only, assuming a steady 12 per cent annual return. Real returns vary and can be negative in some years; treat these as planning guides, not guarantees. Source: standard SIP annuity formula.

The table makes one truth impossible to miss: the longer you have, the less you need to invest each month. Rs 1 crore in 30 years needs a few thousand rupees a month; the same crore in 10 years needs several times that. Time is the ingredient you cannot buy later.

## Building the plan for one goal

- 1 Write the goal and the year: 'Rs 50 lakh for a house down payment in 2032'.
- 2 Choose the assumed return for the fund type that fits the horizon (equity for long goals, debt or hybrid for shorter).
- 3 Use the table, or a SIP calculator, to find the monthly amount.
- 4 Round up to a number you can comfortably pay every month, and set the SIP.

## 5 Step it up each year so inflation does not quietly shrink the target.

### Inflation is part of the goal

Rs 50 lakh in 2032 is not Rs 50 lakh today. If a goal is a decade away, add roughly 5 to 6 per cent a year to today's cost to find the real target. A 'Rs 30 lakh' education today can cost Rs 50 lakh in ten years.

## 19. Rebalancing: the once-a-year thirty minutes

Left alone, a portfolio drifts. After a strong year for shares, equity can quietly become a bigger share of your money than you intended - which means more risk than you chose. Rebalancing nudges it back.

### What rebalancing actually is

You set a target mix - say 70 per cent equity, 30 per cent debt. Once a year you check the actual mix and, if it has drifted far from the target, move a little money from the side that grew to the side that lagged. You are selling a bit of what did well and buying a bit of what did not - the opposite of the panic instinct, and usually the right move.

| If your target is...  | and a year later you are at... | the move is...                          |
|-----------------------|--------------------------------|-----------------------------------------|
| 70% equity / 30% debt | 78% equity / 22% debt          | Shift a little from equity back to debt |
| 70% equity / 30% debt | 64% equity / 36% debt          | Shift a little from debt into equity    |
| 70% equity / 30% debt | 71% equity / 29% debt          | Do nothing - it is close enough         |

A common rule is to rebalance only when the mix drifts by about 5 percentage points or more, and otherwise leave it alone. Do it on the same date each year, so it becomes a habit rather than a reaction to the news.

### Rebalancing is not market timing

You are not predicting anything. You are simply keeping your risk at the level you chose. It also quietly enforces the 'sell high, buy low' discipline most investors cannot manage by feel.

## 20. Insurance is not an investment

Some of the most expensive mistakes in Indian personal finance come from mixing these two ideas. Keep them apart and you save money on both.

### Why the mix is costly

A traditional 'endowment' or 'money-back' policy bundles a small life cover with a small, slow-growing investment. The cover is usually far too small to protect your family, and the returns are usually far below what a simple term plan plus a mutual fund would deliver. You pay for two things and get neither done well.

| Need                           | Buy this                   | Not this                      |
|--------------------------------|----------------------------|-------------------------------|
| Protect your family if you die | Pure term insurance        | An investment-linked policy   |
| Cover hospital bills           | A standalone health policy | A policy bundled with savings |

| Need                      | Buy this                             | Not this                              |
|---------------------------|--------------------------------------|---------------------------------------|
| Grow your money long-term | Mutual funds / index funds           | An insurance-cum-investment plan      |
| Save tax                  | Do not buy a bad product to save tax | A policy you would not otherwise want |

The rule is simple: buy protection for protection, and invest for growth. If a product promises to do both, look at what each half actually costs - the honest answer is usually that both halves are weak.

### A quick sanity check

If someone is selling you an investment that also insures you, ask two questions: what is the life cover, and what is the return after all charges? If both numbers are modest, you are probably paying too much for too little.

## 21. Tax-saving investments compared: ELSS, PPF and NPS

Every February, millions of Indians buy tax-saving products in a hurry, often the wrong ones. Here is the honest comparison, so you choose with your eyes open.

### First, a fact most people miss

The big deductions - including the Rs 1.5 lakh under Section 80C (renumbered Section 123 under the new Income-tax Act) - are available only under the **old** tax regime. If you are on the default new regime, investing in these products gives you no deduction at all. Check which regime you are on before buying anything for tax.

| Option                 | 80C deduction                   | Lock-in                | Return                | Tax on exit                   |
|------------------------|---------------------------------|------------------------|-----------------------|-------------------------------|
| ELSS mutual fund       | Yes, within Rs 1.5 lakh         | 3 years per instalment | Market-linked equity  | LTCG 12.5% above Rs 1.25 lakh |
| PPF                    | Yes, within Rs 1.5 lakh         | 15 years               | About 7.1% (notified) | Tax-free                      |
| EPF (from salary)      | Automatic, within Rs 1.5 lakh   | Till retirement        | About 8.25%           | Tax-free (5+ years service)   |
| NPS (own contribution) | Extra Rs 50,000 (Sec 80CCD(1B)) | Till age 60            | Market-linked         | Partly taxed at maturity      |
| 5-year tax-saver FD    | Yes, within Rs 1.5 lakh         | 5 years                | About 6.5-7.5%        | Interest taxed at slab        |

Rates shown are indicative and can change; confirm current figures on the official sources before investing.

### How to choose

If you are on the old regime and want tax saving with growth, ELSS has the shortest lock-in and the highest long-run potential - start it as a monthly SIP in April, not a lump sum in March. If you want safety, PPF is tax-free and reliable. Your EPF from salary is already filling part of the Rs 1.5 lakh limit, so check what is left before adding more. NPS suits retirement saving, with its extra Rs 50,000 deduction under 80CCD(1B).

### The golden rule of tax-saving

Never let a tax deduction push you into a product you would not otherwise buy. A deduction saves you at most your tax rate on the amount invested; a bad product can cost you far more than that over the years.

## 22. The weekend setup: from zero to your first SIP

You can finish everything in this chapter in one afternoon. Here is the exact sequence.

### Before you start, have these ready

- PAN card linked to Aadhaar (the AMC validates it against the Income Tax database).
- Aadhaar with a mobile number active, for OTP-based e-KYC.
- A savings bank account in your own name, with net banking or UPI.
- A working email and mobile for the account and consent flows.

### Step 1 - Complete KYC (one time, ten minutes)

KYC is the identity check SEBI requires of every mutual fund investor. You can do it online with Aadhaar OTP in about five to ten minutes, on an app, on the AMFI-backed platform MFCentral, or on an AMC's own website. There are two levels worth knowing: **e-KYC**, done instantly with Aadhaar, allows investments up to Rs 50,000 per fund house per year; **full KYC** (which may need a short video or in-person check) has no such limit. You can start with e-KYC and upgrade later. Once done, your KYC works across all fund houses - you never repeat it. You can check your status on the KRA websites (cvlkra.com or kra.ndml.in) using your PAN.

### Step 2 - Choose where you will invest

| Where                     | Good for                                           | Watch out for                               |
|---------------------------|----------------------------------------------------|---------------------------------------------|
| Fund house's own site/app | Buying one AMC's funds directly, often lowest cost | You manage several logins                   |
| MFCentral (AMFI-backed)   | A single, neutral place to see and buy across AMCs | Fewer hand-holding tools                    |
| Investment apps / brokers | Easy onboarding, clean tracking                    | Default to Regular plans - switch to Direct |

### Step 3 - Start the SIP

Search the fund (choose Direct - Growth), tap SIP, and set the amount, the date and the frequency. Pick a date two to three days after your salary is credited. Minimum SIP amounts are small - commonly Rs 100 to Rs 500 a month depending on the fund. Set a five- or ten-year tenure as a natural review point rather than 'forever'.

### Step 4 - Set up the auto-debit mandate

This is what makes the SIP run by itself. **UPI AutoPay** is approved in minutes in your UPI app and is ideal for most beginners. **NACH e-mandate** goes through your bank and can take a few working days, but has higher limits. Whichever you choose, the first debit can take a little longer than the rest - the mandate must be registered first.

## Step 5 - Save your folio number

When units are allotted you get a folio number and a confirmation. Save both. This is how you log in later to view, pause, or change the SIP - and how you will find your holdings at tax time.

### A note on timing

If you register on the 5th and choose the 7th as your SIP date, the first debit may take until the next cycle depending on the mandate type. Do not panic if the first instalment is slightly delayed - check the mandate status, and it will run from the next month.

## 23. Your first year: the ten-minute-a-month routine

The whole point of a SIP is that it runs without you. Your job is a light, regular check - not daily watching.

| How often         | What you do                                                                                         | How long   |
|-------------------|-----------------------------------------------------------------------------------------------------|------------|
| Every month       | Let the SIP debit. Glance at the confirmation email. Do nothing else.                               | 2 minutes  |
| Every quarter     | Open the app, check the SIP is running, check the folio is correct.                                 | 10 minutes |
| Every year        | Review each fund against its benchmark, rebalance to your target, and step up the SIP by about 10%. | 30 minutes |
| When salary rises | Increase the SIP. Do it the same week.                                                              | 5 minutes  |

### Do not check the NAV every day

Daily price-watching is the fastest way to turn a good long-term plan into an anxious mess. Prices move every day; your goals move every year. Look often enough to stay on track, and rarely enough to stay calm.

### Add a nominee, today

A nomination tells the fund house who should receive your units if something happens to you. It takes two minutes and spares your family a legal ordeal. Do it now, and keep it updated when your family situation changes.

### Keep your records in one place

Keep a simple note - fund name, folio number, SIP amount and date, and the platform - in one file, physical or digital. At tax time and in an emergency, this single page saves hours. MFCentral can show your holdings across fund houses using your PAN, which is a good cross-check.

## 24. When the market falls (and it will)

Every investor meets a falling market. The difference between those who build wealth and those who do not is almost never intelligence - it is what they do in the fall.

### Falls are normal, not a malfunction

In 2026, many Indian equity funds were showing negative one-year returns while their five- and ten-year records were strongly positive. That is not a broken fund; it is what markets do. Equity prices move in cycles. A drop is not evidence that investing failed - it is the risk you were paid to take.

## The data on long SIPs is reassuring

A study by DSP Mutual Fund found that 95 per cent of ten-year SIPs ran into a rough patch within their first five years, and 81 per cent went negative at some point along the way. Yet 99 per cent of them still beat debt over the full ten years. In other words: the uncomfortable middle is normal, and staying in is what produced the result.

## What to actually do when it drops

- **Do not stop the SIP.** A fall is when your fixed monthly amount buys the most units. Pausing it is the one move that reliably hurts you.
- **Do not switch to 'safe' funds after the fall.** You would be selling low to buy what already went up - the opposite of sensible.
- **If you have spare cash and a long horizon, adding a little during a fall has historically paid off.** But only money you will not need soon.
- **Re-read your goals.** If the goal is ten years away, this year's number is noise.

### The behaviour that beats the market

The single biggest advantage an ordinary investor has is not information - it is patience. You do not need to be right about the market's next move. You only need to keep investing through it.

## 25. The mistakes that quietly cost lakhs

None of these require bad luck. Each is a choice that feels reasonable and turns out expensive.

| The mistake                            | What it costs                                                                 |
|----------------------------------------|-------------------------------------------------------------------------------|
| Chasing last year's top fund           | You buy after the run-up, then the fund cools - while the market moves on.    |
| Stopping the SIP in a fall             | You skip the cheapest units and lock in fear as a habit.                      |
| Owning 15 funds                        | No extra diversification - just duplication, confusion and higher total cost. |
| Staying on Regular plans               | Roughly 0.5-1.5% a year in commission, compounded for decades.                |
| Investing borrowed money               | A deadline you cannot meet forces you to sell at the worst time.              |
| Buying a new NFO for the 'Rs 10' price | NAV level is irrelevant; new funds lack a track record.                       |
| Acting on a finfluencer's tip          | Unregistered advice, undisclosed conflicts, no accountability.                |
| Forgetting to nominate                 | Your family faces a slow legal process for money that should be theirs.       |
| Ignoring tax until March               | A needless bill, and a scramble that pushes you into bad choices.             |

If you avoid all nine, you will already be ahead of most investors - not because you were clever, but because you were disciplined.

## 26. Tax on your gains: the FY 2026-27 rules

You pay tax only when you sell (or 'redeem') units and book a profit. Until then, your gains are on paper and untaxed. The rate depends on what you held and for how long.

| Fund type                                | Short-term (held up to...)                               | Long-term (held beyond...)                               |
|------------------------------------------|----------------------------------------------------------|----------------------------------------------------------|
| Equity / equity-oriented (incl. ELSS)    | 12 months or less - 20% (Sec 111A)                       | 12 months - 12.5% above Rs 1.25 lakh a year (Sec 112A)   |
| Debt funds bought on or after 1 Apr 2023 | Always treated as short-term - your slab rate (Sec 50AA) | No long-term benefit                                     |
| Gold, international and other funds      | 24 months or less - slab rate                            | Beyond 24 months - 12.5% (listed ETFs: beyond 12 months) |

The Rs 1.25 lakh exemption is an annual, all-in limit across your equity long-term gains, not per fund. Gains up to Rs 1.25 lakh in a year are tax-free; only the amount above that is taxed at 12.5 per cent. These rates have applied to sales on or after 23 July 2024, and Budget 2026 did not change them.

### Three things beginners get wrong

- **Each SIP instalment has its own holding period.** Units are treated on a first-in, first-out basis, so one redemption can include both short-term and long-term units. This is why a fund statement matters at tax time.
- **The new tax regime's zero-tax rebate does not cover capital-gains tax.** The rebate of up to Rs 60,000 (income up to Rs 12 lakh) applies to normal income, not to the special-rate tax on equity gains - though those gains still count toward the Rs 12 lakh test.
- **ELSS is a tax-saver only under the old regime.** The deduction of up to Rs 1.5 lakh under Section 80C (renumbered Section 123 under the new Income-tax Act) is not available if you choose the new regime.

### A worked example

Suppose you redeem equity fund units and book a long-term gain of Rs 3 lakh in one financial year. The first Rs 1.25 lakh is exempt. The remaining Rs 1.75 lakh is taxed at 12.5 per cent - about Rs 21,875 - plus the 4 per cent cess, taking the tax to roughly Rs 22,750. If the same gain had been short-term, the whole Rs 3 lakh would be taxed at 20 per cent, or about Rs 62,400 with cess. Holding past a year turns a large tax bill into a small one.

### How to file

Capital gains go in **Schedule CG**, and equity long-term gains in **Schedule 112A**, of your return. If you have capital gains beyond the simple cases, you file ITR-2 (or ITR-3 if you also have business income). Your broker or AMC provides a capital-gains statement that lists each sale with its holding period - use it. From FY 2026-27, the Income-tax Act, 2025 applies, with capital-gains provisions consolidated under Section 67 and Schedule VII; the rates and holding periods are unchanged, but the section numbers have moved.

#### The tax-smart habit

Hold equity funds for more than a year before selling, use your Rs 1.25 lakh annual long-term exemption where it helps, and never let 'saving tax' push you into a product you would not otherwise buy.

## 27. Protecting yourself: advice, scams and your data

The money you invest is only as safe as the people you listen to and the accounts you use. India's regulator has been blunt about the risk.

### The advice gap is real

SEBI's investor survey found that only about 36 per cent of investors feel they truly understand the market, and nearly 62 per cent of prospective investors say a social-media influencer influenced their decision. Meanwhile there are only around 1,000 SEBI-registered investment advisers in the country. The gap between demand for advice and regulated supply is exactly where scams live.

### The scams to recognise instantly

- **Guaranteed or fixed returns.** No regulated market product can promise them. This is the loudest red flag there is.
- **'Account handling' services.** Anyone asking for your trading or demat login to trade on your behalf is a fraud. Never share credentials.
- **Telegram or WhatsApp 'calls' groups.** Paid tip channels are unregistered advisory. SEBI has acted against exactly these.
- **Unregistered advisers and fake certificates.** Claims of being 'NISM certified' with no proof, and assured profits, are classic mis-selling.
- **Lookalike apps and websites.** Download trading apps only from links on the exchange or SEBI websites, never from a forwarded message.

### How to verify before you trust

- Check whether a person or firm is SEBI-registered at [sebi.gov.in/intermediaries.html](https://sebi.gov.in/intermediaries.html) before acting on their advice.
- Use SEBI's **Check** feature and the **Validated UPI** handle system to confirm you are paying a genuine registered intermediary.
- Use the **Spot a Scam** tool on SEBI's investor website when something looks too good to be true.

#### Two rules that keep you safe

First: never share an OTP, password or account credential with anyone, for any reason. Second: if an offer guarantees a return, it is not an investment - it is a trap. Everything else follows from these two.

## 28. Three Indian investors: how the plan fits real lives

The same ideas look different at different ages and incomes. Here are three illustrative cases - not real people - showing how the plan changes with circumstances.

### Riya, 24, first job in Bengaluru

Take-home Rs 45,000. She finishes the five jobs first: a Rs 60,000 emergency fund built over a year, a personal health policy, and a small term plan. Then she starts a Rs 5,000 SIP in a Nifty 50 index fund, Direct plan, on the 5th of each month - three days after salary. She sets a 10 per cent annual step-up. Her plan is one fund and one habit. In a fall, she does nothing but keep the SIP running.

### Arjun, 35, mid-career, two goals

Income has grown, and he has two goals with different horizons: a house down payment in 2030, and retirement in 2050. He keeps the down-payment money in a balanced hybrid and short-duration debt fund - the horizon is too short for pure equity - and runs an equity index SIP plus one flexi-cap fund for retirement. He rebalances once a year and reviews each fund against its benchmark. He owns four funds, not fourteen.

### Meera, 50, starting late

She has 15 years to retirement and wishes she had started sooner. She does not panic-invest in high-risk bets to 'catch up'. She keeps a meaningful share in equity because her horizon is still long, but holds a firm slice in debt to protect what she has. She steps up her SIP aggressively and uses her full Rs 1.25 lakh annual long-term exemption when she rebalances.

#### The common thread

Different ages, incomes and goals - but the same method in every case: finish the safety jobs, match the fund to the horizon, keep costs low, automate the SIP, and stay in through the falls.

## 29. Your money through the decades

The plan does not change, but its emphasis does. What deserves your attention at 25 is not what matters at 55. Here is how the priorities shift, so you can check where you are and what to fix next.

### Your 20s: the decade of habits

Time is your greatest asset, and you will never have this much of it again. The goal is not a big portfolio; it is a habit that survives your first job change, your first rent hike and your first market fall. Start a small SIP, automate it, build the emergency fund, buy health cover, and resist the urge to touch the money. Keep the equity share high - a long horizon can carry it.

### Your 30s: the decade of balance

Income rises, and so do responsibilities - a home, a family, maybe a child's education starting to loom. This is the decade to step up your SIP aggressively, protect your family with term insurance, and start naming separate funds to separate goals. You can still carry a high equity share, but you begin to add debt for goals that are now within sight.

### Your 40s: the decade of consolidation

The finish line for some goals - a child's college - comes into view. You reduce risk on money you will need soon and keep it high on money that is still decades away. Review your funds properly once a year, cut anything that has drifted from its role, and resist the temptation to chase a hot theme to 'catch up'.

### Your 50s: the decade of protection

The portfolio is now large, and protecting it matters as much as growing it. You shift gradually toward debt and stability - the 'glide path' toward retirement - so a bad market in your final working years cannot undo two decades of saving. Keep enough equity that your money still outpaces inflation over a 15- to 20-year retirement.

| Decade | Main focus          | Rough equity share | Biggest risk to avoid  |
|--------|---------------------|--------------------|------------------------|
| 20s    | Build the habit     | 70-80%             | Waiting to start       |
| 30s    | Step up and protect | 60-70%             | Ignoring insurance     |
| 40s    | Consolidate         | 50-60%             | Chasing a hot theme    |
| 50s    | Protect and glide   | 30-50%             | Too much risk too late |

### You are never too late

A 45-year-old starting today is still better off than a 45-year-old who never starts. The plan simply compresses: a shorter horizon means a little less equity and a bigger monthly amount - but the method is identical.

## 30. Handling a lump sum: bonus, PF or inheritance

A lump sum is when most people make their most expensive mistakes, because it arrives with pressure - a seller calls, a relative advises, and the money feels like it should be doing something immediately.

### The four-step routine

- 1 Do nothing for a week.** Park it in a savings account or a liquid fund. No decision made in the first 48 hours has ever been the good one.
- 2 Top up the emergency fund** and clear any high-interest debt. These two moves are almost always worth more than any fund you could pick.
- 3 Match the rest to your goals.** Split it by horizon: money for a long goal can go into equity; money you might need in two years belongs in debt or a liquid fund.
- 4 Then invest, patiently.** For long-term money, investing the whole amount at once is reasonable; if a big market fall would keep you awake, split it over a few months.

### A note on windfalls from your job

Bonuses, gratuity and provident-fund withdrawals feel like free money, but they are part of your long-term plan. Resist the urge to upgrade your lifestyle with all of it. Decide a split in advance - say, a fixed share to goals and a small share to enjoy - and the windfall becomes a step forward instead of a memory.

### Beware the rush

Any product sold to you because 'the money is lying idle' is being sold on your anxiety, not your interest. There is no prize for investing a lump sum quickly. Time spent deciding costs you nothing; a rushed bad product can cost you years.

## 31. Old regime or new? The choice that decides your tax

Since the new tax regime became the default, millions of salaried Indians pay tax under it without ever deciding. That is fine for many, but the wrong regime can cost tens of thousands of rupees a year. Here is how to choose.

## What each regime gives you

|                    | New regime (default)                                                            | Old regime (optional)                           |
|--------------------|---------------------------------------------------------------------------------|-------------------------------------------------|
| Slabs              | 0-4L nil; 4-8L 5%; 8-12L 10%; 12-16L 15%; 16-20L 20%; 20-24L 25%; above 24L 30% | Lower slabs, but with deductions                |
| Standard deduction | Rs 75,000                                                                       | Rs 50,000                                       |
| Rebate             | Up to Rs 60,000, income up to Rs 12 lakh                                        | Up to Rs 12,500, income up to Rs 5 lakh         |
| Deductions         | Mostly not available                                                            | 80C, 80D, HRA, home-loan interest, NPS and more |
| How to choose it   | Do nothing - it is the default                                                  | Opt in via Form 10-IEA                          |

## A worked example

Take a salaried person earning Rs 15 lakh. Under the new regime, taxable income is Rs 14.25 lakh after the Rs 75,000 standard deduction, and the tax works out to roughly Rs 97,500 including cess. Under the old regime, with the Rs 50,000 standard deduction plus Rs 1.5 lakh of 80C investments and Rs 25,000 of health-insurance premium, taxable income falls to Rs 12.75 lakh - but the higher old-regime slabs mean the tax is roughly Rs 2.03 lakh. Here the new regime wins by over a lakh a year, even after all those deductions.

## When the old regime can still win

The old regime rewards large deductions. If you claim a big HRA exemption, a home-loan interest deduction, a full Rs 1.5 lakh under 80C and a full Rs 50,000 under 80D - a total of roughly Rs 4 to 5 lakh or more - the old regime can come out ahead at typical incomes. The only reliable way to know is to compute both with your own numbers on the Income Tax Department's calculator.

### What this means for your investing

If the new regime suits you, the Rs 1.5 lakh 80C deduction is not available - so do not buy ELSS or a tax-saving FD purely for tax. Invest in whatever is best for your goals, and let the tax follow. If the old regime suits you, ELSS as a monthly SIP from April is a sensible way to fill part of the 80C limit.

## Appendix A - Glossary

| Term            | Plain meaning                                                                                              |
|-----------------|------------------------------------------------------------------------------------------------------------|
| AMC             | Asset Management Company - the firm that runs a mutual fund.                                               |
| AUM             | Assets Under Management - the total size of the fund.                                                      |
| BER             | Base Expense Ratio - the part of a fund's cost the AMC controls (SEBI 2026 rules).                         |
| CAMS / KFinTech | The two main registrars (RTAs) that keep investor records.                                                 |
| Direct plan     | A fund version with no distributor commission; lower cost.                                                 |
| ELSS            | Equity Linked Savings Scheme - equity fund with a 3-year lock-in and a tax deduction under the old regime. |
| Expense ratio   | The annual cost of the fund, deducted daily from its NAV.                                                  |
| ETF             | Exchange-traded fund - an index-tracking fund bought on a stock exchange.                                  |
| Folio           | Your account number with a fund house.                                                                     |
| Growth option   | Profits stay inside the fund and compound; the usual choice.                                               |
| IDCW option     | Profits are partly paid out; usually not for beginners.                                                    |
| Index fund      | A fund that copies an index instead of picking stocks.                                                     |
| KYC             | Know Your Customer - the one-time identity check for investing.                                            |
| LTCG / STCG     | Long-term / short-term capital gains - profit on units held beyond or within the threshold.                |
| NAV             | Net Asset Value - the price of one unit of a fund.                                                         |
| NFO             | New Fund Offer - a newly launched scheme with no track record.                                             |
| Rebalancing     | Bringing a drifted portfolio back to your target mix.                                                      |
| Riskometer      | SEBI's mandatory risk dial on every scheme.                                                                |
| RTA             | Registrar and Transfer Agent - the fund's record-keeper.                                                   |
| SIP             | Systematic Investment Plan - investing a fixed amount at fixed intervals.                                  |
| SWP             | Systematic Withdrawal Plan - taking a fixed amount out regularly.                                          |
| Step-up SIP     | A SIP that increases by a set percentage each year.                                                        |

## Appendix B - The twenty-minute shortlist worksheet

Answer these six questions for any fund before you invest. If any answer is a 'no' or a 'not sure', move to the next fund.

- 1 Does the fund's category match my goal's time horizon? (Chapter 3)
- 2 Is it a Direct plan, Growth option?
- 3 Is the expense ratio within the sensible range for its category? (Chapter 9)
- 4 Over 3, 5 and 10 years, has it stayed close to or ahead of its benchmark?
- 5 Is the fund a sensible size, and has the same manager run it for several years?
- 6 Do I understand what it holds, and does it overlap heavily with a fund I already own?

**Scoring**

Six clear 'yes' answers is a fund worth starting. Anything less, keep looking - there are hundreds of funds and no reason to settle for one you do not understand.

**Appendix C - Platform comparison**

|             | Fund house site/app            | MFCentral                     | Investment app / broker     |
|-------------|--------------------------------|-------------------------------|-----------------------------|
| Cost        | Usually lowest                 | Low                           | Low (if Direct chosen)      |
| Convenience | One AMC per login              | All AMCs in one place         | Very easy to use            |
| Neutrality  | Sells its own funds            | Neutral, AMFI-backed          | May nudge Regular plans     |
| Best for    | Committed single-AMC investors | Anyone wanting one clean view | Beginners who want guidance |

Whichever you pick, confirm you are buying the **Direct** plan. On some apps the Regular plan is the default, and the difference is a commission you pay every year without noticing.

**Appendix D - Frequently asked questions****How much money do I need to start?**

Very little. Many funds accept a SIP of Rs 100 to Rs 500 a month. The amount matters far less than starting and staying consistent.

**Do I need a demat account?**

No. Regular mutual funds are held in a folio with the AMC or registrar. You only need a demat account if you buy ETFs on an exchange.

**Is my money locked in?**

Most open-ended funds let you redeem any time; equity redemptions within a year may attract short-term tax and, for some funds, a small exit load. ELSS is the exception, with a three-year lock-in per instalment.

**What return will I get?**

Nobody can promise a return. Equity funds have historically delivered strong long-term results in India, but they fall in some years. Any 'guaranteed' return offer is a scam.

**Which is better, SIP or lump sum?**

For a salaried person, SIP from each salary is the practical choice and builds the habit. For a large, long-horizon sum, a lump sum has historically had a slight edge. Do not let the debate delay starting.

**How many funds should I own?**

For most people, one to five. Beyond that you mostly duplicate holdings and add cost without adding diversification.

**Should I stop my SIP when the market falls?**

No. A fall is when your fixed amount buys the most units. Stopping is the one move that reliably hurts long-term returns.

**Is a fund's low NAV (like Rs 10) cheaper?**

No. NAV level is meaningless on its own; a Rs 10 NAV and a Rs 100 NAV can represent the same value. What matters is the fund's quality and cost.

**Do I pay tax if I do not sell?**

No. Tax applies only when you redeem and book a gain. Until then your profit is on paper.

**What if I miss a SIP instalment?**

The platform may retry or skip that month. Keep the bank balance funded a day before the SIP date to avoid failures.

**Is an index fund enough on its own?**

For many long-term investors, yes. A single low-cost broad index fund is a complete, diversified holding.

**How do I know a fund is genuine?**

Funds are regulated by SEBI. Verify the fund house on the AMC's own site or AMFI, and verify anyone giving you advice at [sebi.gov.in/intermediaries.html](https://sebi.gov.in/intermediaries.html).

**Can I change or stop my SIP later?**

Yes, any time, usually with no penalty. You can pause, change the amount, or stop - though stopping in a fall is rarely wise.

**What is a step-up SIP?**

A SIP whose amount rises by a set percentage each year, commonly 10 per cent. It quietly increases your investing as your income grows.

**Should I take advice from social media?**

Be careful. Only around 1,000 advisers are SEBI-registered, and most influencers are not. If the advice guarantees returns, walk away.

**Where do I see all my holdings in one place?**

MFCentral, the AMFI-backed platform, shows your holdings across fund houses using your PAN.

## Appendix E - Sources

Every figure in this playbook was taken from the following primary or official sources and is current as of September 2026.

- AMFI Monthly Note and industry data, August 2026 (SIP contribution, SIP accounts, folios, AUM).
- SEBI (Mutual Funds) Regulations, 2026 and SEBI Master Circular of 20 March 2026 (expense-ratio and Base Expense Ratio caps).
- Income Tax Department, Government of India (capital-gains provisions; Sections 112A, 111A, 50AA).
- Income-tax Act, 2025 and Finance Act, 2026 (new section numbering; rebate; FY 2026-27 slabs).
- SEBI investor-education pages and SEBI press releases, 2026 (unregistered advisers, account-handling and digital scams, SEBI Check, Validated UPI, Spot a Scam).
- SEBI Chairman's address, ARIA Aspire 2026, 16 March 2026 (adviser numbers; finfluencer influence; investor knowledge).
- DSP Mutual Fund study on long-term SIP behaviour, reported September 2026.
- Published scheme factsheets of leading AMCs (expense ratios of direct Nifty 50 index funds).

This playbook is provided for education only. It is not investment advice, and it is not a recommendation of any fund, platform or product. Mutual fund investments are subject to market risks; read all scheme-related documents carefully. For advice

specific to your situation, consult a SEBI-registered investment adviser.

## Appendix F - Goal tracker worksheet

Fill one row for each goal. Keep this page where you will see it - it turns a vague intention into a number, a date and a fund.

| Goal               | Year needed | Target amount          | Monthly SIP | Fund                   | Next review |
|--------------------|-------------|------------------------|-------------|------------------------|-------------|
| Emergency fund     |             | 3-6 months of expenses |             | Liquid fund / sweep FD |             |
| Retirement         |             |                        |             | Index fund (equity)    |             |
| Child's education  |             |                        |             |                        |             |
| House down payment |             |                        |             | Hybrid / short debt    |             |
| Other goal         |             |                        |             |                        |             |

Remember to add inflation to any goal more than five years away - roughly 5 to 6 per cent a year on today's cost.

## Appendix G - Your yearly review checklist

Once a year, set aside thirty minutes and work through these ten points. That is the entire maintenance this plan needs.

- 1 Is every SIP still running, and is the folio correct?
- 2 Has your salary risen? If so, step up each SIP by about 10 per cent.
- 3 Has any fund drifted far from its benchmark over 3 and 5 years?
- 4 Has the portfolio's equity-to-debt mix drifted more than about 5 points from your target? If so, rebalance.
- 5 Is your emergency fund still three to six months of your current expenses?
- 6 Are your nomination details up to date?
- 7 Is your health cover still enough for your family?
- 8 Have any goals changed - new ones added, old ones finished?
- 9 Are you still buying Direct plans, with no hidden Regular-plan switch?
- 10 Have you used your Rs 1.25 lakh annual long-term capital-gains exemption where it helps?

### That is the whole system

Start the SIP, automate it, keep costs low, review once a year, and stay invested through the falls. Do that for two decades and you will have done more than most investors ever manage.